

OFFICERS' EXPENSES

AUDIT PROGRAM #18-90-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
May 2026	Process and Objective, Fraud template, Corporate paid transportation, host country expenses	Process and Objective, Fraud template, Corporate paid transportation, host country expenses	Adriana Lippi	Updated to reflect current audit and business process in place. Replaced TEA by Travel & Expenses reports.
February 2025	PLANNING	Data Analysis	Adriana Lippi	Updated systems naming (EDL & MySky)
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

For the purposes of this audit program, officers' expenses is the review of expenses for individuals who were designated as corporate officers, board members, former CEO, and former chairmen of the board for all, or part, of the prior year. Expenses to be reviewed include all travel related expenses, corporate paid activities, and any other payments made on behalf of corporate officers, board members, former CEOs, and former chairmen of the board. This review also tests the accuracy of the officer expense management reports and certain expense related proxy information.

The officers in this review should include elected officers, any officers included on the proxy statement, appointed officers, and officers whose position may expose them to particularly sensitive situations which include:

- Treasurer
- Corporate Secretary

This list of officers should be consistent with the officers who are included in the Officers' Expense Reporting.

The officers' expense review focuses on expense and process exceptions, as well as imputed income and proxy statement reporting related to the officers' expenses and asset usage (company air and company car). Expense exceptions include reimbursements or payments made which are not in compliance with IBM policy and procedures. Process exceptions include control deficiencies in the payment review and approval processes.

Note: In this audit program, Officers' Expenses include expenses from corporate officers, board members, former CEOs, and former chairmen of the board.

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PLANNING: Audit Program Risk Alignment

Officers' Expenses

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Officers Expense (Including Spousal Expense/Gifts)	High	Officers' Expense Account Reimbursements	OE001.P, OE002.P, OE003.P, OE004.S, OE007.P
Company Aircraft	High	Corporate Paid Activities	CP002.P, CP003.P, CP004.S
Former Chief Executive Officer Expenses	Medium	Former Chief Executive Officer Expenses	FC001.P
Special Events	Medium	Corporate Paid Activities	CP001.P
Security/Financial Perquisites	Medium	Perquisites	PR001.P
Support Personnel Expenses	Low	Officers' Expense Account Reimbursements	OE005.S
Board Member Expenses	Low	Board Member Expenses	BM001.P, BM002.P, BM003.S
Overpayments	Low	Officers' Expense Account Reimbursements	OE001.P
Host Country Expenses	Low	Host Country Expenses	HC001.P
Medical Perquisites	Low	Perquisites	PR001.P
Tax Disallowance	Low	Corporate Paid Activities	CP002.P, CP003.P, CP004.S
Company Car	Low	Corporate Paid Activities	CP002.P, CP003.P, CP004.S

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Officer and Support Personnel Travel & Expenses reports	Travel & Expenses reports Dollar Amount	High Expenses	Not in compliance with corporate travel policies
	Travel & Expenses reports Start Date versus End Date versus Submitted Date	Expenses from prior years	Inappropriate Expenses, late fees, etc.
	Officers Travel & Expenses reports submitted versus Support Personnel	Similar Expenses	Duplicate Expenses
	Vendors	Inappropriate/Invalid Vendor	Inappropriate/Invalid Expenses, Fraudulent Activity
	Purpose	No Business Reason	Reported as compensation/income

Have IT team run a query to pull the MySky system logs, company car EDL Web application logs for the audit period. Additionally, review the former CEO and chairman contracts as indicated below.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Company aircraft usage logs	Review MySky system logs	Missing logs	Unauthorized company aircraft usage
Company car usage logs	Review company car EDL Web application logs	Missing logs	Unauthorized company car usage
Former CEO and Chairman contracts	Review the contracts which are maintained by the HR Director of Compensation	Contract does not include a clause indicating usage of corporate asset is allowed for former CEO or Chairman.	Unauthorized usage of corporate assets by former CEO or Chairman.

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PLANNING: Reference Material

CI LEG 168/ FIN 168 Business Amenities and Gifts - <https://w3.ibm.com/ibm/corporate-documents/fin/fin-168-leg-168>

Compliance with Transportation, Entertainment, and Business Amenities (CTEBA) Process for Government Owned Entities ("GOE") in any country and all Commercial Parties in Certain Countries ("CPICC") - <https://w3.ibm.com/w3publisher/cteba>

CI FIN 101 Control of Disbursements - <https://w3.ibm.com/ibm/corporate-documents/fin/fin-101>

Corporate Policy 103 Business Conduct and Ethics -

<https://w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-policies/cp-103>

IBM Travel Policies - <https://w3.ibm.com/hr/web/travel/>

Proxy Statements as Required by the SEC - <http://www.sec.gov/rules/final/2006/33-8765.pdf>

Travel Allowance Rates - https://w3.ibm.com/hr/web/travel/policies/per_diem

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Inappropriate Compensation/Expenses Paid	Monitoring, tracking, reviewing, and approving of all expenses. Daily Expense Account Audits. Monthly Advance/Overpayment. Review Semi-Annual Officer Expense. Reporting Quarterly Imputed Income, Monthly Company Air Review. Monthly Company Car Review.	Review Officer, assistants, and host country expenses to ensure no duplication. Ensure expenses are in compliance with IBM Policy, SEC, and IRS regulations. Ensure personal expenses are accurately reported to IRS and imputed income is calculated accurately.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Officers' Expense Account Reimbursements

Objective:

Are travel and miscellaneous expense reimbursements to the officers properly authorized, reasonable, and in compliance with IBM policies and procedures? In addition, were loans and advances to officers properly approved, in compliance with IBM policies, and settled per defined terms?

Risk/Exposure:

Improper payments could result in a negative financial or business image impact to IBM. Also, an officer approving an administrative assistant's (AA) expense account, which included expenses for the officer, would effectively permit the officer to approve her/his own expenses.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Officers' Expense Account Reimbursements

Primary Test: Officers Report Validation (OE001.P)

Objective:

To validate that information reported in the Officers Report is accurate and complete.

Approach:

Meet with customer and review the process for accumulating the data and preparing the Officers Report. In addition, run queries and/or review queries used to obtain Officers Report data. Validate that the following items were completely and accurately calculated and reported.

1. Number of officers included in the Officers Report
2. Total expense accounts and dollars processed
3. Exceptions to IBM travel or reimbursement policies
4. Expenses unique to the officers' position
5. Spouse expenses
6. Gifts
7. Local limousines
8. Hotel expenses in excess of the published limits
9. Meal expenses in excess of the published limits
10. Potential duplicate payments for meals with other IBM employees
11. Travel and miscellaneous expense accounts for the officers' administrative assistants and executive protection personnel (the scope of this audit includes only officer expenses on these expense accounts)
12. Host country reports of officer expenses incurred by that country
13. Loans and advances

If the Officers Report data is inaccurate and cannot be utilized for any of the measurements reported, perform appropriate secondary testing in this section.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Officers' Expense Account Reimbursements

Primary Test: Officers Report Exception Handling (OE002.P)

Objective:

To validate that exception transactions, as reported in the Officers Report, were processed appropriately.

Approach:

Review the process for handling exceptions identified by the Officers Report. Depending on the number and types of exceptions found, select either a sample or review all exceptions reported on the Officers Report. If a sample is selected focus on transactions which appear unique, potentially sensitive, or in need of special tax or compensation considerations. Test for the following attributes:

1. Were proper approvals obtained?
2. Was the expense for a valid IBM business purpose?
3. Were itemized receipts provided to document the expense?
4. Were exceptions to IBM policies fully explained and documented?
5. Was the expense included in the officer's taxable compensation, as appropriate?
6. Was the expense accurately recorded in the Officers Report?
7. Were loans and advances settled promptly?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Officers' Expense Account Reimbursements

Primary Test: Procurement Bypass (OE003.P)

Objective:

To determine if controls are in place to prevent the bypass of procurement in selecting suppliers and/or making purchases.

Approach:

Review documentation and management policies to validate the control measures listed below. In selecting a sample, refer to the Global Accounts Payable website. Additionally:

- In North America, refer to the Accounts Payable Utility (APU) approved categories.
- In EMEA, refer to the PO Exempt procedures.
- In AP, refer to Invoice Only Invoices (IOI) procedures.

Any expenses that do not fall into these categories must go through Procurement. NOTE: Some categories also specify monetary limits which may assist in selecting a sample.

1. Review a selection of the travel expenses reports to verify that expensed items did not require procurement involvement.
2. Determine if management had procedures in place to prevent the bypass of procurement. If a bypass did occur, validate that control procedures were implemented in a timely manner to ensure that repeat bypasses would be prevented. If applicable, review any risk assessment measurements that the organization may have in place for procurement bypasses.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Officers' Expense Account Reimbursements

Secondary Test: Travel Expense Accounts (OE004.S)

Objective:

To validate that travel expense reimbursements to officers are properly authorized, reasonable, and in compliance with IBM policies and procedures.

Approach:

Review officer expense reimbursement procedures and IBM travel guidelines. Obtain copies of the officers' authorized signature delegation letters for approval verifications. Review CTEBA By-pass reports. Select a sample of officer Travel & Expenses reports and test for the following attributes:

1. Were the expenses approved by the designated or delegated approver for that officer?
2. Were the expenses for a valid business purpose and were personal expenses treated as compensation? Expenses which may be considered additional compensation include, but are not limited to, personal portion of travel, air ticket cancellation penalties, limousines for personal use, baby-sitting (see guidance for permissible exceptions), and gifts by corporate officers in excess of the human relations policy dollar limit.
3. Were itemized receipts provided to document all expenses as required by the receipt requirement guideline? (https://w3.ibm.com/hr/web/us/expenses/receipt_requirements)
4. Did expenses appear reasonable and show no evidence of questionable business judgement? Questionable business judgement may include excessive or improper use of limousines or air charters, excessive use of hotels and business meals in the officer's work location, excessive personal travel combined with business, and meeting cancellation fees.
5. Were expenses charged to the proper account codes? Travel & Expenses reports are charged to travel unless special account charge codes are requested.
6. Were expenses included in the TMO and exception reports presented to management, as appropriate?
7. Were expenses consistent with IBM guidelines for airfare, rental cars, hotels, and meals, or if expenses exceeded limits, were they approved as exceptions?
8. Were corporate contracts used, as required by IBM travel policy? This includes the corporate travel agency, corporate charge card, and corporate rental car agency.
9. Were spouse expenses in compliance with established guidelines and legal requirements or treated as additional compensation?
10. Was there NO evidence of duplicate payments or charging IBM directly for expenses? A duplicate payment indicator may be a business meal for other IBMers.
11. Were exchange rates accurate?
12. Were business meals fully documented, including a list of attendees and the business purpose?
13. Were potentially sensitive payments, such as gifts to non-IBMers and any expenses for government officials, GOEs, or CPICCs, in compliance with IBM guidelines and legal requirements?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Officers' Expense Account Reimbursements

Secondary Test: Administrative Assistants' Expenses (OE005.S)

Note: The scope of this audit does not include exceptions to policies in connection with AA's personal expenses. If exceptions are noted, they should be brought to the attention of the processing organization.

Objective:

To verify that expenses submitted for reimbursement by administrative assistants or executive protection personnel were not incurred by the officer to whom they support, and duplicate expenses were not reimbursed.

Approach:

Select a judgmental sample of Travel & Expenses reports for officers' administrative assistants and executive protection personnel, focusing on travel dates that are similar or the same for both the officer and either the assistant or security guard. Test for the following attributes:

1. Were the officer's expenses excluded from the assistant's or guard's Travel & Expenses reports?
2. If no, were those expenses not also reimbursed to the officer?
3. If officer expenses were included, do these expenses meet all the attributes described in "Travel Expense Accounts (OE004.S)" on page 3?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Officers' Expense Account Reimbursements

Secondary Test: Loans and Advances (OE006.S)

Objective:

To determine if loans and advances to officers are properly approved, for a valid business purpose, settled in a timely manner, and in compliance with IBM policies and guidelines.

Approach:

Review all loans and advances including those related to travel, and miscellaneous expenses and test for the following attributes:

1. Was the loan or advance properly approved?
2. Was the loan or advance for a valid business purpose?
3. Was the loan documented on a signed loan agreement?
4. Was the loan or advance repaid to IBM in a timely manner?
5. Was interest charged and repaid, if required?
6. Was the transaction in compliance with any additional IBM policies and guidelines?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Officers' Expense Account Reimbursements

Primary Test: Taxable Income (OE007.P)

Objective:

To determine that employees who became officers within the past year were taxed correctly during the calendar year.

Approach:

Obtain a list of employees who became officers within the past year and test their taxable income for the following attributes:

1. Were taxable items from their previous position handled separately from taxable items during their officer's position?
2. Were items from their previous position among the taxable income used to calculate their taxes when they became an officer? (i.e., they were overtaxed)
3. Were taxable items correctly identified from the point they became an officer?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Board Member Expenses

Objective:

Are expense reimbursements for any outside member of the IBM Board of Directors properly authorized and in compliance with board members' expense reimbursement guidelines?

Risk/Exposure:

Improper payments could result in a negative financial or business image impact to IBM.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Board Member Expenses

Primary Test: Board Member Expenses Validation (BM001.P)

Objective:

To validate that board member expenses reported in the Officers Report were complete and accurate.

Approach:

Review the process for accumulating and preparing the semi-annual Officers Report related to board member expense reimbursements. Validate that the following item was completely and accurately reported in the Officers Report:

1. Total board member expenses paid

If the Officers Report data is inaccurate and cannot be relied upon for the measurements reported, perform secondary testing in this section.

OFFICERS' EXPENSES

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Board Member Expenses

Primary Test: Board Member Expenses Exception Handling (BM002.P)

Objective:

To validate that exception transactions for board member expenses, as reported in the Officers Report, were handled appropriately.

Approach:

Review the process for handling board member expense exceptions. Depending on the number and types of exceptions found, select either a sample or review all exceptions reported. If a sample is selected focus on transactions which appear unique or potentially sensitive. Test for the following attributes:

1. Were proper approvals obtained?
2. Was the expense for a valid IBM business purpose?
3. Were itemized receipts provided to document the expense?
4. Were exceptions to IBM policies fully explained and documented?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Board Member Expenses

Secondary Test: Board Member Expenses (BM003.S)

Objective:

To validate that expense reimbursements for outside members of the IBM Board of Directors are properly approved and in compliance with board members' expense reimbursement guidelines.

Approach:

Review the board member expense reimbursement process and guidelines. Review either a sample or all expenses for board members during part or all of the previous year and test for the following attributes:

1. Were the expenses properly approved?
2. Were the expenses for a valid IBM business purpose?
3. Were the expenses supported by documentation (i.e., receipts, invoice, director's travel itinerary)?
4. Was the taxability of the expenses properly recorded?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Corporate Paid Activities

Objective:

Are corporate paid activities properly authorized, documented, reasonable, and in accordance with IBM policies and procedures? Is personal use of these activities included in the officers' compensation or reimbursed to IBM in a timely manner? Corporate paid activities include athletic and cultural event tickets, apartments maintained for use by the officers, and the use of IBM-owned aircraft and automobiles.

Risk/Exposure:

Improper use of corporate paid activities could result in a financial or business image impact to IBM.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Corporate Paid Activities

Primary Test: Special Events and Corporate Properties (CP001.P)

Objective:

To verify that payments on behalf of the officers are proper and in compliance with IBM policy and procedures.

Approach:

Select all charges from the officers' departments for special events (athletic, cultural, etc.) and corporate properties (apartments, condominiums, etc.). Review usage logs associated with these activities. Test charges for the following attributes:

1. Was the expense properly authorized?
2. Was the expense for a valid business purpose or, if for personal use, was IBM reimbursed in a timely manner?
3. Was the expense supported by a valid invoice or supplier documentation?
4. Was the expense reasonable?
5. Has the charge been appropriately recorded in usage logs, which designate personal versus business use, and any other applicable management reports?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Corporate Paid Activities

Primary Test: Corporate Paid Transportation Validation (CP002.P)

Objective:

To validate that corporate paid transportation (aircraft and cars) expenses reported in the Officers Report were complete and accurate.

Approach:

Review the process for accumulating and preparing the Officers Report related to corporate paid transportation expense reimbursements. Validate that the following items were completely and accurately reported in the Officers Report:

1. Total uses of corporate aircraft and cars
2. Total personal use of corporate aircraft and cars
3. Dollar value of the personal use of corporate aircraft and cars
4. Number and dollar value of personal use not included in the officers' earnings

If the Officers Report data is inaccurate and cannot be relied upon for the measurements reported, perform secondary testing in this section.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Corporate Paid Activities

Primary Test: Corporate Paid Transportation Exception Handling (CP003.P)

Objective:

To validate that exception transactions for corporate paid transportation expenses, as reported in the Officers Report, were handled appropriately.

Approach:

Review the process for handling corporate paid transportation expense exceptions identified by the Officers Report. Depending on the number and types of exceptions found, select either a sample or review all exceptions reported on the Officers Report. If a sample is selected focus on transactions with high dollar values. Test for the following attributes:

1. Were proper approvals obtained?
2. Was the expense for a valid IBM business purpose?
3. Were the officers' earnings corrected to include the personal use of corporate aircraft or cars?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Corporate Paid Activities

Secondary Test: Corporate Paid Transportation (CP004.S)

Objective:

To determine if personal use of IBM-owned aircraft, charters, IBM-owned cars, and chauffeurs is included in officers' compensation or reimbursed to the corporation in an accurate and timely manner.

Approach:

Review usage records of IBM-owned aircraft (passenger logs), IBM-owned cars, charters, and chauffeurs. Include the use of IBM-owned aircraft based in Europe in the review. Select instances of personal, spouse, government official, GOE, or CPICC use and test for the following attributes:

1. Was use of the aircraft, cars, or chauffeurs consistent with IBM procedures?
2. Was the officer accurately billed for personal use or was personal use included in the officer's compensation?
3. Was IBM reimbursed for personal use in a timely manner?
4. If government official was transported, was this use consistent with IBM guidelines for relationships with government officials? All instances of government official use should be reported.
5. If a GOE or CPICC official was transported, was the CTEBA process followed?

Note:

Corporate Aircraft – Proxy Methodology – Implemented Direct Operating Cost Methodology in 2026.

Company Car – Imputed Income rate – Exclude Driver's expense for CEO only based on Security study since 2026.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Perquisites

Objective:

Is additional compensation (non-salary) reported in the proxy statement if it exceeds \$25,000, or 10% of the compensation reported in the cash compensation table of the proxy report? Perquisites includes, but is not limited to, reimbursements for financial consulting, medical examinations, and security.

Risk/Exposure:

SEC penalties could result from the improper reporting of officers' compensation.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Perquisites

Primary Test: Perquisites (PR001.P)

Objective:

To verify that the officers' additional compensation is properly reported in the IBM proxy statement, in compliance with SEC rule 402.

Approach:

Review the process for identifying and accumulating the Officers Report data for perquisites (financial consultation) and all other items which could be considered additional compensation (many of which may be found in the preceding tests). Validate that the following items were completely and accurately reported in the Officers Report and proxy statement reporting:

1. Total perquisites expense reimbursed to officers.
2. Number and dollar value of perquisites expense reimbursements that were not included in officers' earnings.

If the Officers Report information is accurate, validate that exceptions were appropriately resolved by ensuring that the officers' earnings were corrected. In addition, verify that all perquisites provided to the officers were consistent with IBM policies and procedures.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Former CEO Expenses and Asset Usage

Objective:

Are the former CEO's expenses and asset usage aligned with the agreed to contract? Are the expenses and asset usage appropriately tracked, monitored, and approved?

Risk/Exposure:

Inadequate monitoring and tracking of former CEOs expenses and asset usage could lead to unauthorized expenses and impact IBM's reputation.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Former CEO Expenses and Asset Usage

Primary Test: Former CEO Expenses (FC001.P)

Objective:

The expenses and asset usage were appropriately monitored, tracked, approved and in-line with the contractual agreement and corporate instructions.

Approach:

Request the former CEOs agreed to contract from legal. Review all of the former CEO's expenses and asset usage for the previous year to ensure:

1. Were the expenses and asset usage in-line with the agreed to conditions in the contract?
2. Were the expenses and asset usage supported by appropriate documentation (invoices, receipts, etc.)?
3. Was the expense and asset usage appropriately approved?
4. If the item being expensed was for or the asset usage included a GOE or CPICC official, did it follow the CTEBA process?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Host Country Expenses

Objective:

Are host country expenses properly authorized, reasonable, and in compliance with IBM policies and procedures?

Risk/Exposure:

Inadequate monitoring and tracking of host country expenses could lead to unauthorized expenses and impact IBM's reputation.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Host Country Expenses

Primary Test: Host Country Expenses (HC001.P)

Objective:

Are host country expenses properly authorized, reasonable, and in compliance with IBM policies and procedures?

Approach:

For Host Country Expenses, review the host country supporting documentation and Officers Report information to determine the following:

1. Was their appropriate supporting documentation for the host country expense?
2. Was the expense reported accurately in the Officers Report?
3. Was the expense reimbursed accurately per IBM policy?
4. Was the expense submitted in a timely manner?

Note: Report is run annually for all countries to identify any expenses submitted for Officers in a foreign country

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Out of Country Expenses

Objective:

Are out of country expenses properly authorized, reasonable, and in compliance with IBM policies and procedures?

Risk/Exposure:

Inadequate monitoring and tracking of out of country expenses could lead to unauthorized expenses and impact IBM's reputation.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Out of Country Expenses

Primary Test: Out of Country Expenses (OO001.P)

Objective:

Are out of country expenses properly authorized, reasonable, and in compliance with IBM policies and procedures?

Approach:

Review the Out of Country Expenses supporting documentation, to determine the following:

1. Was their supporting documentation for the out of country expense?
2. Was the expense reimbursed accurately per IBM policy?
3. Was the expense submitted in a timely manner?